segments—a key battle zone. "The BJP, which had almost monopolised the Lingayat electorate here, will now feel the need to do something about it," says a senior journalist from the region. Like Shettar, Savadi too is a Lingayat leader and influential in his own right via the cooperative sector where he has been active. The Congress, says a senior leader, hopes to benefit from the public perception of these two senior leaders from the Lingayat community quitting on account of being 'ill-treated.'

Aware of this possibility, the BJP quickly pressed Yediyurappa into the damage-control exercise. "The BJP will not face any problem," he maintained, arguing that both the leaders had no cause for grievance. Savadi, having been re-elected as MLC last year, still had five years of his tenure remaining, he pointed out. "When we return to power, he would have been made a minister." As for Shettar, top leaders, including election in-charge Dharmendra Pradhan and CM Basavaraj Bommai, had reached out to him over the weekend, even assuring a Rajya Sabha entry and a central ministership besides offering a ticket to any of his family members. "The party has given Shettar so many positions and had even made him the CM," Yediyurappa said at a press conference on April 16, citing his own example of stepping down as CM to "make way for a younger generation". "People won't forgive him. I will travel the state to tell people what actually happened," he added. For the BJP, the ticket distribution exercise doesn't seem to have gone the way it was intended. What price it will pay for this lapse, we will know on May 13. ■



Illustration by SIDDHANT JUMDE

THE FORECAST GETS GLOOMY

By M.G. Arun

Three global agencies—the International Monetary Fund (IMF), the World Bank and the United Nations—have lowered their forecast on India's growth in the current financial year. On April 11, the IMF trimmed its GDP growth forecast for India for FY24 by 20 basis points to 5.9 per cent and for FY25 by 50 basis points to 6.3 per cent. One hundred basis points constitute one percentage point. The forecast for the current fiscal is much lower than the Reserve Bank of India's (RBI) projection of 6.5 per cent for FY24. Considering that the RBI estimated GDP growth in FY23 at 6.8 per cent (per the RBI), the IMF projection of 5.9 per cent is a significant drop from the previous fiscal. The Centre has not released the final numbers for 2022-23 yet.

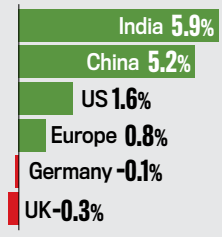
India's growth numbers may look better compared to other developed economies, but then those economies are also far bigger. IMF projects the US and Europe to grow at 1.6 per cent and 0.8 per cent in calendar year 2023, from 2.1 per cent and 3.5 per cent, respectively. China is expected to grow by 5.2 per cent this year. The UK and Germany are likely to experience a recession in 2023, with growth expected to contract by 0.3 per cent and 0.1 per cent, respectively. Japan is the only major economy that may see a rise in GDP growth in 2023.

On April 4, the World Bank said India's GDP growth is expected to moderate to 6.3 per cent in FY24 (from its estimate of 6.6 per cent earlier). This, the World Bank said, was due to rising borrowing costs and slower income growth weighing on private consumption growth. With the easing of pandemic-related fiscal support measures, government consumption too is projected to grow at a slower pace, it said.

In January, the UN had lowered India's growth forecast by 20 basis points to 5.8 per cent for the 2023 calendar year, citing the effect of higher interest rates and recession risks in the developed world on investment and exports. So, weak private investment and consumption continue to dog the economy, while inflation and uncertainty

IMF PROJECTIONS

India's FY24 GDP growth compared to other large economies



* Estimates for all other economies are for CY2023